

Investing with an IRA

How private real-estate income fits inside a self-directed IRA

An Individual Retirement Account can hold a private-market investment. The mechanics, however, are not the same as a personal allocation. The most common confusion has nothing to do with returns - it is about who actually owns the subscription.

The custodian is the account holder

Inside an IRA, the custodian is the legal account holder. The investor directs the allocation; the custodian signs, transmits funds, and receives distributions on the account's behalf. Subscription documents are completed in the name of the IRA, not the individual.

This sounds bureaucratic. It is. It is also non-negotiable.

Most IRAs need to be self-directed

Many traditional IRAs only hold publicly traded securities. To hold a private investment, the IRA usually has to be a self-directed IRA (SDIRA) held with a custodian that supports private placements. Not every custodian does. Choosing - or moving to - the right custodian is part of the setup, not a footnote.

The choice of custodian affects:

- Whether the firm can issue subscription documents in the IRA's name at all
- How long funding takes
- How distributions and reporting are handled

How capital actually reaches the offering

A typical funding path:

- Open or confirm a self-directed IRA at a qualifying custodian.
- Fund the SDIRA - most often by transfer from another IRA or rollover from a 401(k). Direct contributions are allowed within annual limits but rarely meet the minimums of a private placement on their own.
- Direct the custodian to allocate to the offering. The custodian wires funds from the IRA to the issuer.
- Subscription documents are signed by the custodian, on behalf of the IRA, with the investor's direction.

After the subscription closes, distributions and reporting flow through the custodian. The investor sees them inside the SDIRA, not in a personal bank account.

What the firm does and does not do

- Issues subscription documents in the name of the IRA, never the individual.
- Communicates with the custodian for funding, distributions, and reporting.
- Does not act as custodian, plan administrator, or tax advisor.
- Does not provide tax or estate-planning advice. A qualified advisor handles that conversation.

Eligibility - the accredited-investor standard

Most private real-estate offerings require accredited investor status. Under SEC Regulation D, an accredited investor is generally defined as having:

- Annual income above \$200,000 (individual) or \$300,000 (joint) for the last two years, with the same expected this year, or
- Net worth above \$1,000,000, excluding the value of a primary residence, or
- Other categories as defined by SEC Regulation D.

Considerations before allocating

These are not reasons not to allocate. They are the parameters that frame the conversation with a qualified advisor and the custodian.

- Custodian fees: setup fees, transaction fees, annual fees based on asset value or complexity.
- Liquidity constraints: real estate is illiquid; allocations are multi-year commitments.
- Due diligence: evaluate property quality, market conditions, sponsor track record, operator execution.
- IRS regulations: prohibited transactions can disqualify the IRA. The custodian helps administer, but compliance is the owner's responsibility.

Before the eligibility review

If you are considering an IRA allocation, three things make the conversation faster:

- Confirm whether the current custodian holds private placements. If not, identify an SDIRA custodian.
- Confirm accreditation status (Regulation D, Rule 506(c)).
- Decide the funding path - transfer, rollover, or contribution.

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